

A COMPLETE GUIDE FOR FEDERAL & STATE EMPLOYEES

Understanding Your *Federal* Benefits

Everything you need to know about FERS, TSP, FEHB, and planning a retirement you can count on — explained clearly, without the jargon.

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 - 02 THRIFT SAVINGS PLAN (TSP)
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YOUR FOUNDATION

Understanding FERS

If you were hired after January 1, 1984, you are covered under the Federal Employees Retirement System (FERS) — a three-part retirement framework designed to provide stability, flexibility, and long-term financial security for federal workers and their families.

Basic Benefit Pension

A defined monthly pension based on your years of service and your high-3 average salary. This is a guaranteed income stream for life.

Social Security

Unlike CSRS employees, FERS participants pay into and receive full Social Security benefits, adding another layer of guaranteed income in retirement.

Thrift Savings Plan

Your personal savings account — similar to a 401(k) — with government matching contributions up to 5% of your salary.

How Your Pension is Calculated

Your FERS basic benefit is calculated using a straightforward formula:

1% × Years of Service × High-3 Average Salary

If you retire at age 62 or older with 20+ years of service, that multiplier increases to **1.1%** — a meaningful boost for those who plan ahead. For example, 30 years of service with a \$80,000 high-3 average salary yields a \$24,000 annual pension (or \$26,400 with the 1.1% multiplier).

Minimum Retirement Age (MRA)

- Born before 1948 — MRA is 55
- Born 1948–1952 — MRA scales from 55 to 56
- Born 1953–1964 — MRA is 56
- Born 1965–1969 — MRA scales from 56 to 57
- Born 1970 or later — MRA is 57

FERS Supplement

If you retire before age 62, you may qualify for the FERS Special Retirement Supplement — a bridge payment designed to approximate your Social Security benefit until you reach 62. This benefit ends when you become eligible for Social Security and is subject to an earnings test.

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YOUR SAVINGS ENGINE

Maximizing the TSP

The Thrift Savings Plan is one of the lowest-cost retirement savings vehicles available anywhere. With expense ratios as low as 0.04%, it outperforms most private 401(k) plans significantly. Understanding how to maximize your TSP contributions — and the government match — can add tens of thousands of dollars to your retirement over a career.

5%

MAX AGENCY MATCH

\$23,500

2025 CONTRIBUTION LIMIT

\$31,000

AGE 50+ CATCH-UP LIMIT

Traditional TSP

Contributions are pre-tax, reducing your taxable income today. Withdrawals in retirement are taxed as ordinary income. Best for those who expect to be in a lower tax bracket in retirement.

Roth TSP

Contributions are made after-tax. Qualified withdrawals in retirement are completely tax-free — including all growth. A powerful tool if you expect higher future tax rates.

The Agency Match — Don't Leave It Behind

The government automatically contributes 1% of your salary, regardless of whether you contribute. If you contribute at least 5%, you receive the full 5% match. That's an immediate 100% return on that portion of your savings — free money you should never walk away from.

TSP Fund Options

- **G Fund**— Government securities; no loss of principal
- **F Fund**— Fixed income index; bond exposure
- **C Fund**— S&P 500 index; large-cap stocks
- **S Fund**— Small/mid-cap index
- **I Fund**— International stock index

—**L Funds**— Lifecycle funds; target-date investing

A Note on TSP Withdrawals

TSP withdrawals are a common area where federal employees make costly mistakes. The timing, order, and method of withdrawals — and how they interact with Social Security and your FERS pension — can significantly affect your lifetime tax burden. This is where working with both a financial advisor and an financial advisor makes a real difference.

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FEHB in Retirement

One of the most valuable — and often overlooked — benefits of federal employment is the ability to carry your Federal Employees Health Benefits (FEHB) coverage into retirement. Unlike most private-sector employees who lose employer-sponsored health coverage when they leave work, qualifying federal retirees can maintain their FEHB plan for life.

Eligibility to Carry FEHB Into Retirement

To keep FEHB coverage in retirement, you must have been continuously enrolled in an FEHB plan for the five years immediately before you retire — or since your earliest opportunity to enroll. Meeting this requirement is one of the most important milestones to track before your retirement date.

Government Contribution Continues

In retirement, the government continues to pay approximately 72% of the average premium — the same share it contributes during your working years. This makes FEHB extraordinarily valuable compared to purchasing individual coverage on the open market.

FEHB & Medicare — Working Together

At age 65, you become eligible for Medicare. Many federal retirees choose to enroll in Medicare Part B alongside their FEHB plan, which can dramatically reduce out-of-pocket costs. When FEHB coordinates with Medicare as secondary coverage, many retirees find they have near-comprehensive coverage with minimal copays. The decision of when and whether to enroll in Medicare requires careful analysis of your specific plan.

Key Plan Types Available

- **Fee-for-Service (FFS)**— Maximum flexibility; see any doctor
- **Health Maintenance (HMO)**— Lower premiums; network-based care
- **High Deductible Health Plan**— Pairs with an HSA for tax savings
- **Consumer-Driven Plans**— More control over healthcare spending

FEGLI Life Insurance

Federal Employees Group Life Insurance can also be carried into retirement, though premiums increase significantly with age. Evaluate whether your coverage needs are better met through private alternatives.

Dental & Vision (FEDVIP)

The Federal Employees Dental and Vision Insurance Program offers supplemental coverage. Unlike FEHB, FEDVIP does not receive a government premium contribution but offers competitive group rates.

Long-Term Care

The Federal Long Term Care Insurance Program (FLTCIP) provides coverage for extended care needs. Planning for potential long-term care costs is a critical — and often neglected — piece of retirement readiness.

THE BIG PICTURE

What to Expect When You Retire

Retirement from federal service isn't just a date — it's a process with important decisions, timelines, and financial implications. Understanding what happens before, during, and after your retirement date gives you the clarity to make confident, informed choices.

1 12-24 Months Before Retirement

Request your Official Personnel Folder review, estimate your annuity using OPM's calculators, evaluate your TSP allocation, and review your FEHB enrollment to ensure you meet the 5-year rule. Begin working with a financial advisor to model different retirement scenarios.

2 3-6 Months Before Retirement

File your retirement application with your agency's HR office. Review and finalize your survivor benefit election. Decide on your TSP withdrawal strategy. Confirm your FEHB plan selection and begin researching Medicare enrollment if you're approaching 65.

3 Your First Year in Retirement

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You will initially receive interim payments from OPM while your annuity is finalized — a process that can take 6–12 months. Understand that your first year may require careful cash flow management. Budget accordingly and lean on your TSP if needed.

4 Ongoing Retirement Management

Coordinate TSP withdrawals with your pension and Social Security to minimize taxes. Revisit your FEHB plan each Open Season. At 72, Required Minimum Distributions (RMDs) begin from your Traditional TSP — plan ahead to avoid unnecessary tax exposure.

The Tax Side of Federal Retirement

Your FERS pension, TSP withdrawals, and Social Security are all potentially taxable — and how they're coordinated matters enormously. As a financial advisor with financial planning expertise, Kaleb helps federal retirees structure their income to minimize lifetime tax liability, not just annual tax bills.

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YOUR NEXT STEP

Ready for a *Confident* Retirement?

Federal benefits are complex — but they don't have to be confusing. As a financial advisor, Kaleb specializes in helping federal and state employees make the most of the benefits they've earned, while building a tax-smart strategy for the years ahead. A simple 30-minute conversation can bring tremendous clarity to your retirement picture.

YOUR PRE-RETIREMENT CHECKLIST

- Confirm 5-year FEHB continuous enrollment
- Calculate your high-3 average salary
- Request and review your OPM retirement estimate
- Decide on Traditional vs. Roth TSP strategy
- Maximize TSP contributions in final working years
- Evaluate survivor benefit options for your spouse
- Determine your optimal Social Security claiming age
- Research Medicare Part B enrollment timing
- Review FEGLI coverage vs. private alternatives
- Build a retirement income and cash flow plan
- Plan TSP withdrawal strategy to minimize taxes
- Schedule a consultation with a financial professional

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Financial Planning · Tax Strategy · Financial Advisor · Federal Benefits

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No Guarantee of Results

Examples and figures used throughout this brochure are for illustrative purposes only and do not represent guaranteed outcomes. Past performance is not indicative of future results. All investment strategies involve risk, including the potential loss of principal. The TSP fund options described are subject to market risk and may fluctuate in value.

Third-Party Information

Information regarding FERS, TSP, FEHB, and other federal benefit programs has been obtained from sources believed to be reliable, including the U.S. Office of Personnel Management (OPM) and the Thrift Savings Plan. This information is provided without warranty as to accuracy or completeness. For the most current benefit rules and figures, visit opm.gov or tsp.gov.

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